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Roll No.:

21-004Section: A

NEDUET
CIS- 3rd Year, EEM
Quiz - 2

13
76

Total marks: 16 - (CLO 01)

Date: 11/May/2026

Q1. For each of the following, state whether the loss in value is due to use-related physical loss, time-related physical loss, or functional loss: (08)

- i. Albert sold his two-year-old computer for \$500, but he paid \$4000 for it new. It wasn't fast enough for the new software he wanted. Functional loss
- ii. Beatrice threw out her old tennis shoes because the soles had worn thin. Use-Related Physical Loss
- iii. Claudia threw out her old tennis shoes because she is jogging now instead. Functional Loss
- iv. Day-old bread is sold at half-price at the neighborhood bakery. Time-Related Physical Loss
- v. Egbert sold his old lawnmower (grass cutter machine) to his neighbour for \$20. Use-Related Physical Loss
- vi. Fred picked up a used overcoat at the thrift store for less than 10 percent of the new price. Use-related Physical Loss
- vii. Gunther notices that newspapers cost \$0.50 on the day of purchase, but are worth less than \$0.01 each as recyclable newsprint. Functional Loss Time-related
- viii. Harold couldn't get the price he wanted for his house because the exterior paint was faded and flaking. Time-Related Physical Loss

Q2. For each of the following, state whether the value is a market value, book value, scrap value, or salvage value:

- i. Inta can buy a new stove for \$800 at Joe's Appliances. Market Value
- ii. Jacques can sell his used stove to Inta for \$200. Salvage Value Market Value
- iii. Kitty can sell her used stove to the recyclers for \$20. Salvage Value Scrap Value
- iv. Liam can buy Jacques's used stove for \$200. Salvage Value Market Value
- v. Noriko is adding up the value of the things she owns. She figures her stove is worth at least \$200. Market Value

Q3. An asset costs \$14000 and has a scrap value of \$3000 after seven years. Record its book value using straight-line depreciation after 4 years. (03)

$$S = \$3000$$

$$P = \$14000$$

$$N = 7$$

$$n = 4$$

Sol:

$$BV_n = P - n \left(\frac{P - S}{N} \right)$$

$$= 14000 - 4 \left(\frac{14000 - 3000}{7} \right)$$

$$BV_4 = \$7714.28$$